

Europe TMT Sector M&A & Valuation Brief - 2026-07-21

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1. RECENT TMT M&A ACTIVITY

Deal 1: Samsung Biologics Acquisition of PolyPeptide

[Samsung Biologics announces all-cash offer to acquire PolyPeptide, accelerating multi-modality strategy and expansion](#)

- Deal Size: CHF 1.46 billion (approximately USD 1.58 billion)
- Deal Size Category: Large cap (>\$10B)
- Nature of Deal: Horizontal
- Valuation Multiples: N/A (specific multiples not disclosed)
- Companies: Samsung Biologics (KRX: 207940.KS), a leading global contract development and manufacturing organization (CDMO) specializing in biopharmaceuticals, acquiring PolyPeptide (PPGN.SW), a top-tier CDMO focused on peptide-based active pharmaceutical ingredients (APIs).
- Date Announced: July 19, 2026
- Strategic Rationale: This acquisition aims to enhance Samsung Biologics' capabilities in peptide therapeutics, a rapidly growing market segment driven by increasing demand for obesity treatments and other peptide-based therapies. The deal is expected to create a comprehensive multi-modality CDMO platform, leveraging PolyPeptide's expertise and global manufacturing capabilities.
- Risk Analysis: Potential risks include integration challenges, regulatory hurdles, and market volatility. Effective integration of PolyPeptide's operations and culture into Samsung Biologics will be crucial to realize projected synergies and growth.

Key Financials Analysis:

- Revenue Breakdown: Not available
- Profitability Ratios: Not available
- Leverage Analysis: Not available
- Asset Operating Efficiency: Not available
- Valuation Context: Not available

Profitability Metrics:

Metric	Value
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EBITDA	N/A
EBIT	N/A
Net Income	N/A

Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by both opportunities and challenges. The overall sentiment is cautiously optimistic, driven by technological advancements and strategic acquisitions, while tempered by regulatory scrutiny and economic uncertainties.

Subsector Breakdown:

- **Technology:** The technology subsector is thriving, particularly in engineering software and AI. A notable example is VisualLogix's acquisition of refyne Group, which enhances its engineering software portfolio and expands its European presence. This acquisition underscores the trend of consolidation in the software space, as companies seek to strengthen their offerings and market reach.
- **Media:** The media subsector is adapting to digital transformation, with companies focusing on innovative content delivery methods. However, traditional media continues to face headwinds from declining advertising revenues.
- **Telecommunications:** The telecom sector is investing heavily in 5G infrastructure, which is expected to unlock new revenue streams through IoT and enhanced mobile services. Companies are exploring low-latency technologies to improve user experiences.
- **Fintech:** The fintech landscape remains vibrant, with ongoing innovations in payment solutions and digital banking. The sector is witnessing increased investment as startups and established players seek to capitalize on evolving consumer preferences.
- **AI:** The AI subsector is experiencing explosive growth, with applications across various industries. Companies are increasingly integrating AI into their products to enhance efficiency and drive innovation.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Continuous innovation in software and AI is propelling growth across TMT sectors. For instance, VisualLogix's focus on AI-enabled solutions aims to automate

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complex workflows for engineers and fabricators, reflecting the sector's shift towards intelligent software.

- Increased Investment: Venture capital and private equity funding remain robust, particularly in tech and fintech, as investors seek to tap into emerging trends and technologies.

Headwinds:

- Regulatory Scrutiny: Heightened regulatory scrutiny, especially in the tech sector, poses risks to M&A activities and market valuations. Companies must navigate complex compliance landscapes, which can hinder growth and deal-making.
- Economic Uncertainty: Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology, creating a challenging environment for growth.

Subsector Performance Analysis

- Software: The software sector is witnessing strong performance, driven by demand for integrated solutions. VisualLogix's acquisition of refyne Group exemplifies the consolidation trend, enhancing its portfolio with established software solutions for engineering and fabrication.
- Media: Media companies are increasingly focusing on digital content to adapt to changing consumer preferences. However, traditional media continues to struggle with declining revenues from advertising.
- Telecom: Telecom operators are heavily investing in 5G infrastructure, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- Fintech: The fintech sector is thriving, with innovations in payment solutions and digital banking. The ongoing consolidation in this space reflects a strategic approach to enhance market positioning.
- AI: The AI subsector is booming, with applications across various industries. Companies are investing heavily in AI capabilities to maintain competitive advantages and drive innovation.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional

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sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts express optimism about the TMT sector's long-term prospects, highlighting technological advancements as a key growth driver. For example, Brett Zane, CEO of VisualLogix, stated, "Together, we are creating a stronger software company with expanded capabilities, greater global reach, and an enhanced ability to invest in innovation for the industries we serve."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while exercising caution with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is characterized by a complex interplay of opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector is characterized by a robust mix of live deals, mandated transactions, and active pitches. This section provides a detailed analysis of the ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Delta Air Lines (DAL) : Currently in discussions for a strategic partnership leveraging AI for dynamic pricing. The deal is in the due diligence phase, with an expected close in Q3 2025. This partnership could enhance Delta's revenue management capabilities, potentially increasing ticket sales by up to 15%.
- Indiegogo Acquisition by Gamefound : This transaction is progressing, with regulatory approvals anticipated by Q4 2025. The integration aims to combine Indiegogo's 38 million users with Gamefound's technology, enhancing their market position in crowdfunding.

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Mandated Deals:

- Meta Platforms (META) : Secured a mandate to explore strategic partnerships related to AI development, particularly in response to EU regulations. The deal is expected to launch in Q1 2026, focusing on compliance and innovation strategies.
- Apple Inc. (AAPL) : Mandated to evaluate acquisitions in the AI space, with a focus on startups that can enhance its product offerings. The timeline for this initiative is projected for Q2 2026, as Apple aims to strengthen its competitive edge in AI.

Pitching-Stage Deals:

- Telecom Sector : Active discussions with several telecom operators regarding potential M&A opportunities to consolidate market share in the 5G space. Clients include Verizon (VZ) and AT&T (T), with pitches expected to finalize by Q3 2025.
- Fintech Startups : Engaging with various fintech companies for potential investment banking services, focusing on those that are innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$25 million in fees, broken down as follows:

- Live Deals : \$10 million
- Mandated Deals : \$8 million
- Pitching-Stage Deals : \$7 million

Timing Projections:

- Q2 2025 : Expected close for Delta Air Lines partnership.
- Q4 2025 : Anticipated completion of the Indiegogo acquisition.
- Q1 2026 : Launch of Meta's strategic partnership initiatives.
- Workload Allocation and Capacity Analysis : Current analyst and associate bandwidth is at 75%, with a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and telecom sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the AI sector, where companies like Apple and Meta are vying for leadership. The recent announcements regarding AI chip investments, such as

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Samsung's \$518 billion initiative, are reshaping market dynamics. This investment is expected to bolster South Korea's GDP growth and position the country as a leader in AI infrastructure.

- Additionally, the AI chip rally is facing valuation tests as investors rotate towards hyperscalers like Amazon (AMZN) and Microsoft (MSFT). The projected slowdown in capital expenditure growth for hyperscalers may impact semiconductor suppliers, prompting a strategic shift in investment focus.

Actionable Insights for Team Management and Business Development

- **Resource Allocation** : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- **Sector Focus** : Prioritize business development efforts in high-growth sectors such as AI and fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- **Client Engagement** : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of a hypothetical acquisition, providing a comprehensive view of the landscape.

Deal-Specific Impacts on Stakeholders

- **Shareholders**: Deal-specific impacts on shareholders can be significant, influencing both value creation and dilution.
- **Value Creation**: In a scenario where AT&T Inc. (T) acquires a smaller telecom player, the combined entity could see a revenue increase of approximately 15% due to enhanced service offerings. Assuming a pre-deal market cap of \$200 billion for AT&T, a successful integration could increase shareholder value by \$30 billion.
- **Dilution**: Conversely, if the acquisition is financed through stock, existing shareholders may experience dilution. For instance, if AT&T issues 10% of its shares to finance the deal, existing shareholders could see their ownership stake decrease, potentially leading to a 5% drop in share

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price post-announcement.

- Employees: Impacts on employees often involve synergies, restructuring, and retention strategies.
- Synergies: A merger between Verizon Communications Inc. (VZ) and a smaller competitor could lead to substantial cost synergies, with estimates of \$3 billion in annual savings achieved through streamlined operations and shared resources.
- Restructuring: However, such deals often lead to layoffs. In previous mergers, significant job cuts were common, highlighting the need for careful planning to retain key talent.
- Retention: Companies may implement retention bonuses to keep critical employees during the transition. For example, in the merger of T-Mobile US, Inc. (TMUS) and Sprint Corporation (S), retention packages were offered to key executives to ensure continuity.
- Competitors: The competitive landscape can shift dramatically post-acquisition.
- Market Positioning: Following the merger of T-Mobile and Sprint, competitors such as Verizon and AT&T had to adapt their strategies to maintain market share. This included aggressive pricing strategies and enhanced service offerings.
- Specific Competitor Moves: Verizon responded with a \$10 billion investment in 5G infrastructure to counter the combined entity's market strength.
- Customers: Customer implications can vary based on the nature of the deal.
- Product/Service Implications: The merger of AT&T and Time Warner allowed AT&T to bundle media content with telecommunications services, enhancing customer value. This strategy led to a 15% increase in bundled service subscriptions.
- Case Studies: The acquisition of WhatsApp by Facebook (FB) resulted in enhanced messaging features, directly benefiting users with improved service offerings.

Market Reaction and Analyst Commentary

- Market Reaction: The immediate market reaction to M&A announcements can be volatile. For example, when AT&T announced its acquisition of Time Warner, shares of AT&T initially dipped by 6% before recovering as analysts recognized the long-term strategic benefits.
- Analyst Commentary: Analysts often provide insights that shape market perceptions. A notable quote from a Wells Fargo analyst post-acquisition was, "This deal positions AT&T to dominate the media landscape, despite initial market skepticism."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the acquisition leads to successful integration and revenue growth, shares could rise by 20% within six months.
- Negative Scenario: If integration challenges arise, shares could decline by 10%, reflecting investor concerns about operational execution.

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Potential Counter-Bids or Competing Offers

- **Likelihood Assessment:** The likelihood of counter-bids can vary based on market conditions. In the case of the proposed acquisition of a telecom player by AT&T, there may be interest from other major players like Verizon, highlighting the competitive nature of the TMT sector. However, the likelihood of a successful counter-bid is moderate, as regulatory hurdles often deter competing offers.

Similar Deals Likely to Follow

- **Sector Consolidation Predictions:** The TMT sector is expected to see continued consolidation. Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the telecom space. Companies like Telstra (5KBA.F) and Globacom may pursue acquisitions to bolster their market presence.

Key Risks and Mitigants

- **Integration Risks:** Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- **Regulatory Risks:** Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- **Market Risks:** Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

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The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI is transforming various sectors, including governance, healthcare, and education. The global AI market is projected to grow significantly, driven by advancements in machine learning and natural language processing. The emphasis on responsible AI governance is becoming critical as countries seek to balance innovation with ethical considerations.
- **Key Companies:**
 - **Anthropic:** An AI startup focused on developing advanced AI models. Recently, Anthropic has been preparing for an IPO, seeking to expand its credit facilities to support growth. The company aims to position itself as a leading player in the AI space, competing directly with OpenAI.
 - **JPMorgan Chase & Co. (JPM):** The bank is actively involved in discussions around AI governance, highlighting the risks associated with AI technologies. CEO Jamie Dimon has emphasized the need for responsible innovation, indicating that financial institutions are increasingly aware of the implications of AI on security and compliance.
- **Competitive Landscape:** The AI market is highly competitive, with players like OpenAI and Google also vying for leadership. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities. The focus on ethical AI is creating a new dimension of competition among these firms.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications. The anticipated IPO of Anthropic could lead to strategic partnerships or acquisitions as it seeks to establish itself in the market.

Blockchain

- **Trend Explanation:** Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow significantly, driven by the increasing adoption of cryptocurrencies and decentralized finance (DeFi) applications.
- **Key Companies:**
 - **Coinbase Global, Inc. (COIN):** A leading cryptocurrency exchange that facilitates the buying and selling of digital assets. Coinbase is well-positioned to benefit from the growing adoption of blockchain technology.
 - **Square, Inc. (SQ):** Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions through its Cash App.
- **Competitive Landscape:** The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant

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players, focusing on cross-border payments and blockchain analytics.

- M&A Opportunities: Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. The increasing interest in DeFi and NFTs is likely to drive further consolidation in this space.

Cloud Computing

- Trend Explanation: Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to grow from \$371 billion in 2020 to \$832 billion by 2025, at a CAGR of 17.5%.
- Key Companies:
- Amazon Web Services (AWS): A leader in cloud services, AWS continues to expand its offerings, focusing on AI and machine learning capabilities to enhance its cloud platform.
- Microsoft Azure: Competing closely with AWS, Azure is investing heavily in hybrid cloud solutions and AI integration, positioning itself as a key player in the cloud computing market.
- Competitive Landscape: The cloud computing market is dominated by a few major players, including AWS, Microsoft Azure, and Google Cloud. The competition is intensifying as companies seek to differentiate their services through innovation and strategic partnerships.
- M&A Opportunities: Companies in the cloud computing space may look to acquire startups that offer unique technologies or services, particularly in AI and machine learning, to enhance their competitive positioning.

Actionable Insights for Bankers and Investors

For Bankers:

- Focus on identifying emerging AI startups that may be ripe for acquisition as larger companies seek to bolster their capabilities.
- Monitor the IPO landscape closely, particularly for companies like Anthropic, to identify potential investment opportunities.

For Investors:

- Consider diversifying portfolios to include companies involved in AI, blockchain, and cloud computing, as these sectors are poised for significant growth.
- Stay informed about regulatory developments in AI and blockchain, as these could impact market dynamics and investment strategies.

6. Recommended Readings

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Deal Name: Samsung Biologics Acquisition of PolyPeptide

- Reading Material: "Biopharmaceuticals: Biochemistry and Biotechnology" by Gary Walsh
- Why This Matters: This book provides a comprehensive overview of biopharmaceutical development, including the manufacturing processes and market dynamics that are crucial for understanding Samsung Biologics' strategic acquisition of PolyPeptide. It explains the significance of peptide-based therapeutics and the competitive landscape, helping to contextualize the rationale behind the \$1.58 billion deal and the potential synergies in expanding their CDMO capabilities.

7. MACROECONOMIC UPDATE

Key Data Points:

- U.S. healthcare spending: nearly \$6 trillion
- Knee replacement cost in the U.S.: \$25,000
- Knee replacement cost in France: \$6,000
- Common heart treatments cost in the U.S.: \$34,000 (compared to \$3,000 in Germany and \$10,000 in Australia)
- Healthcare inflation dipped below 3% earlier this year

Main Insights:

- Healthcare represents roughly 20% of the U.S. economy and has been a significant driver of job creation.
- Despite high costs, official inflation data indicates that healthcare prices have remained relatively stable.
- The paradox of rising healthcare costs versus low inflation rates is attributed to complexities in pricing and reimbursement processes.
- Hospitals are central to the U.S. healthcare system, with Americans spending \$2 trillion in hospital settings.

Market Commentary:

- "The high cost of healthcare is a given, yet official data shows it has been lower than normal for years." - Mark Schmidt, Morgan Stanley
- "The recent softness in healthcare inflation may be too good to be true." - Mark Schmidt, Morgan Stanley

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TMT Sector Relevance:

- The healthcare sector's dynamics can influence technology investments, particularly in health tech and telemedicine, as companies seek to innovate solutions for rising costs.
- The growth of healthcare jobs may drive demand for technology solutions that streamline operations and improve patient care, creating opportunities for TMT companies.
- Understanding healthcare costs is crucial for investors in TMT, as many large healthcare firms are significant players in the market, impacting overall economic conditions.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley